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DDS MARINE WEEKLY

MARITIME INTELLIGENCE

TANKERS | ENERGY | STS | COMPLIANCE

Insight. Safety. Excellence.

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● Executive Market Dashboard

Market snapshot: 21 August 2026 | oilprice.com, Ship & Bunker, Hellenic Shipping News and Baltic Exchange data

BRENT CRUDE

US\$93.62/bbl

▲ 2.18% intraday

WTI CRUDE

US\$86.70/bbl

▲ 2.74% intraday

MURBAN CRUDE

US\$101.00/bbl

▲ 1.60% — above US\$100

SINGAPORE VLSFO

US\$836.00/mt

▲ US\$3.00 d/d

BALTIC DIRTY TANKER INDEX

2,894 pts

▲ 70 pts, 18 Aug

VLCC TCE

US\$266,512/d

▲ US\$15,746

DDS VIEW

The 60-day Islamabad MoU lapsed at midnight on 17 August with no deal, no extension and no talks. Within 48 hours Iran had begun enforcing a permit-and-toll regime through both kinetic action and vessel seizure: a chief engineer was killed aboard the bulk carrier MINOAN DIGNITY in the southern corridor, and the tanker AMARA was boarded and seized near Qeshm Island — the first confirmed Iranian seizure since 22 June. Brent has crossed US\$93 and Murban has broken US\$100. Most telling for our readers: China's two largest state tanker operators are now keeping more than 100 VLCCs out of both Hormuz and Bab el-Mandeb on Beijing's guidance, and three China-linked tankers aborted Hormuz transits inside the reporting window. This is no longer a risk-pricing market. It is a market where major fleets are declining to transit at any price.

This Week at a Glance

- **Diplomacy:** The 60-day MoU window lapsed 17 August. Tehran declared it nullified and asserted mandatory transit permits and maritime environmental tolls; Washington rejected the claim and maintained convoy escorts and blockade enforcement.
- **Crew fatality:** MINOAN DIGNITY (IMO 9294484), Liberia-flagged bulk carrier, struck by an unknown projectile in its engine room 0.5nm off the Omani coast overnight 17–18 August. Chief engineer killed; UKMTO confirmed. Second vessel under the same management struck this month.
- **Seizure:** AMARA (IMO 9333280), Liberia-flagged chemical/products tanker, assessed seized after Iranian boarding near Qeshm Island on 17 August — in ballast, reportedly detained over transit authorisation and fee compliance.
- **Oil:** Brent US\$93.62/bbl, WTI US\$86.70/bbl and Murban US\$101.00/bbl on 21 August, extending a four-day rally as the Hormuz impasse hardens.
- **Freight:** Baltic Dirty Tanker Index 2,894 (+70) with VLCC TCE up US\$15,746 to US\$266,512/day; TD2 (ME Gulf/Singapore) surged 53.22 Ws points to Ws528.44, equivalent to US\$552,681/day.



● CEO Market Commentary

Capt. Dinesh Naidu KC — Founder & Chairman, DDS Marine Group

“A chief engineer went to work this week and did not come home. Before we talk about worldscale points, we should sit with that.”

This publication exists to give operators a practical read on the market. This week the market delivered a crew fatality. A projectile entered the engine room of a Liberia-flagged bulk carrier half a nautical mile off the Omani coast, and the ship's chief engineer was killed. He was aboard a vessel that had been delivering food cargo to Iranian ports — not lifting energy cargo, not running a blockade, not obviously anyone's target. Every master and every superintendent reading this should take that fact seriously, because it means the targeting logic we have all been using to assess our own exposure no longer reliably holds.

The wider picture is that the 60-day MoU window lapsed on 17 August and Iran moved within two days to enforce a permit-and-toll regime, seizing the tanker AMARA near Qeshm Island for allegedly failing to meet transit authorisation and fee conditions. Washington rejects the regime's legitimacy. That leaves owners in an impossible position: comply with Tehran's demands and risk sanctions exposure, or refuse and risk seizure. There is no clean answer, and any master told to simply "use judgement" in that corridor has been failed by their shore organisation.

Watch what the largest fleets are doing rather than what anyone is saying. COSCO Shipping Energy Transportation and China Merchants Energy Shipping — together more than 100 VLCCs, and roughly half of China's pre-war Middle East crude imports — are reportedly keeping their ships out of both Hormuz and Bab el-Mandeb on Beijing's guidance. Three China-linked tankers aborted transits inside the reporting window, one turning back mid-passage. When operators of that scale decline to transit despite VLCC TCE above US\$266,000 a day, they are telling you something the freight indices cannot.

For Malaysia and Southeast Asia, our position is unchanged but the stakes have risen. Our waters are not the conflict zone; they are increasingly the alternative to it. That is commercially favourable and operationally demanding in equal measure. If we want the region to absorb redirected tonnage credibly, our STS execution, screening and documentation standards must be visibly better than the corridor everyone is avoiding. That is the opportunity, and it is also the obligation.

Capt. Dinesh Naidu KC

Founder & Chairman, DDS Marine Group

Publication Principle — Independent operational commentary based on publicly available market information from oilprice.com, Ship & Bunker, Hellenic Shipping News and Baltic Exchange. Incident detail attributed to Windward and Kpler via Hellenic Shipping News.

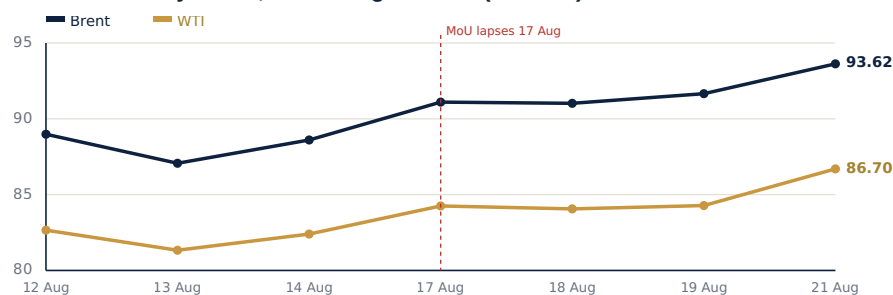


● Global Oil Market

Prices and the week's directional move, per oilprice.com and Ship & Bunker daily series

Indicator	Latest	Reading
Brent crude	US\$93.62/bbl	Up 2.18% intraday, 21 Aug; up ~7.6% from the US\$87.07 close on 13 Aug. Crossed US\$90 on MoU expiry.
WTI crude	US\$86.70/bbl	Up 2.74% intraday; up ~6.6% from the US\$81.33 close on 13 Aug.
Murban crude	US\$101.00/bbl	Up 1.60% — through US\$100 and at a ~US\$7.4 premium to Brent as ADNOC curbs supply to Asia.
US crude inventories	+4.4m bbl	EIA reported a build for the week ending 14 Aug; distillate stocks sank further. Prices rose regardless.

Brent vs. WTI — Daily Close, 12–21 August 2026 (US\$/bbl)



Source: Ship & Bunker daily close series, 12–19 Aug; oilprice.com live indication, 21 Aug (intraday).

Market Interpretation

The rally is structural, not speculative. Brent has risen for four consecutive sessions and crossed US\$90 on the day the MoU lapsed, closing the week above US\$93 as Iran began enforcing its transit regime. That EIA reported a 4.4-million-barrel crude build for the week ending 14 August and prices rose anyway confirms what we said in Issue 003: this market is pricing chokepoint access, not inventory.

Murban through US\$100 is the single most significant number on this page. A Gulf grade trading at a substantial premium to Brent — with ADNOC curbing supply to Asia and issuing its ninth spot tender since June — tells you the market is repricing the risk of physically getting a barrel out of the Gulf, not the barrel itself. Diesel remains the tightest part of the complex, with cracks around US\$100 and commentary this week arguing the real crisis is in distillate rather than crude.

DDS BASE CASE

With the MoU expired and no negotiating framework in place, we see no near-term mechanism for de-escalation. Our base case is a sustained US\$88–100/bbl Brent environment with sharp upside on any further seizure, fatality or terminal strike. The downside case now requires an entirely new diplomatic initiative, not the revival of a lapsed one.

Commercial effect on shipping: Bunker costs are rising into an already elevated war-risk and insurance environment. Owners should assume voyage budgets built before 17 August are stale, and should re-price deviation, waiting time and security costs against the current regime rather than the MoU-era assumptions that prevailed for most of Q3.

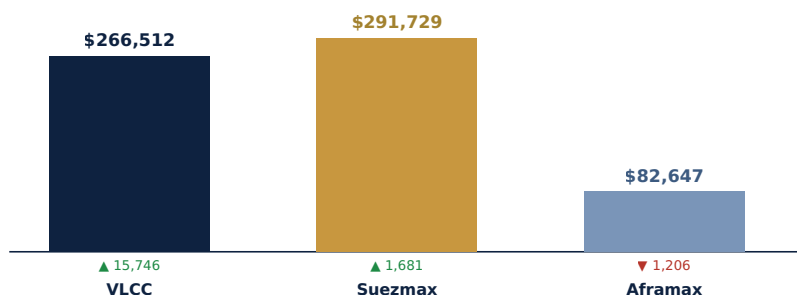


◆ Crude Tanker Market

VLCC, Suezmax and Aframax directional assessment

Segment	Current Tone	Primary Driver
VLCC	Sharply firm / record territory	Scarcity of willing tonnage as Chinese fleets withdraw from Hormuz
Suezmax	Firm, Atlantic-led	TD20 WAF/UK-Cont +16.66; TD33 US Gulf/ARA +29.44
Aframax	Mixed / softening	US Gulf legs easing; Black Sea strike risk persists

Crude Tanker TCE — US\$/day, Baltic Exchange, 18 August 2026



TCE: VLCC (TD3C, TD15, TD22); Suezmax (TD6, TD20); Aframax (TD7, TD8, TD14, TD19, TD25, TD26).
Change vs. prior print.

VLCC

The Baltic Dirty Tanker Index rose 70 points to 2,894 on 18 August, driven almost entirely by the VLCC segment. TD2 (ME Gulf/Singapore) surged 53.22 Ws points to Ws528.44, worth US\$552,681/day (+US\$60,533) — the route most directly relevant to our readership. TD3C (ME Gulf/China) rose to Ws514.44 (+12.77) and TD15 (WAF/China) to Ws173.75 (+17.50). VLCC TCE across TD3C, TD15 and TD22 climbed US\$15,746 to US\$266,512/day, with reporting this week describing Gulf-to-China supertanker rates touching US\$510,000/day and supertanker prices at record highs. Crucially, this is a scarcity rally driven by withdrawal of supply rather than growth in demand: with COSCO and China Merchants holding more than 100 VLCCs out of the corridor, the pool of owners willing to transit has shrunk faster than cargo has.

Suezmax

Suezmax TCE rose to US\$291,729/day (+US\$1,681), now the highest-earning crude segment. The strength was Atlantic-led rather than Black Sea-led: TD20 (WAF/UK-Cont) jumped to Ws328.33 (+16.66) and TD33 (US Gulf/ARA) to Ws251.11 (+29.44), while TD6 (Black Sea/Med) actually eased to Ws553.89 (–6.67). That rotation is consistent with charterers pulling replacement barrels from the Atlantic Basin rather than accepting Black Sea loading risk — a pattern reinforced by the drone strike on SKIROS near Novorossiysk (see Vessel Security Log).

Aframax

Aframax was the only crude segment to soften, with TCE down to US\$82,647/day (–US\$1,206). TD25 (USG/ARA) fell to Ws361.67 (–15.55) and TD9 (Caribs/USG) eased to Ws412.22 (–3.34), while TD14 (SE Asia/EC Australia) firmed modestly to Ws173.44 (+1.88). The segment is caught between softening Americas short-haul demand and continued exposure to Black Sea and Red Sea security risk.

DDS VIEW

A US\$15,746/day jump in VLCC TCE in one print is remarkable, but read the composition before celebrating. This is not cargo growth; it is the market repricing a shrinking pool of willing tonnage. Owners still prepared to transit Hormuz are earning extraordinary numbers precisely because so many are not. For charterers, the practical consequence is that nominal availability and executable availability have diverged further than at any point this year — verify a vessel's actual willingness and insurance position before assuming a fixture is real.



◆ Clean & Product Tankers

LR2, LR1, MR and Handysize — the diesel story

The Baltic Clean Tanker Index eased 9 points to 1,274 on 18 August, but the headline understates a sharp internal rotation. The Atlantic basin firmed hard while Gulf-linked long-haul routes softened. TC14 (USG/UK-Cont) jumped to Ws237.14 (+8.57), worth US\$23,878/day (+US\$1,459), and TC18 (US Gulf/Brazil) rose to Ws287.86 (+13.57), US\$32,715/day (+US\$2,081). The MR Atlantic Basket climbed to US\$27,059/day (+US\$1,307). Against that, TC1 (ME Gulf/Japan, LR2) eased to Ws507.22 (–2.78) and TC5 (ME Gulf/Japan, LR1) fell to Ws510.00 (–6.25).

Segment	This Week's Signal	Watch
LR2	Softer on ME Gulf/Japan (Ws507.22, –2.78) but TC20 ME Gulf/UK-Cont held at US\$113,441/day (+US\$171). Still the highest-earning clean segment.	Whether Gulf loading access, not rate levels, becomes the binding constraint on LR2 employment.
LR1	TC5 ME Gulf/Japan down to Ws510.00 (–6.25), US\$95,227/day; TC8 ME Gulf/UK-Cont firm at US\$87,689/day.	Naphtha and gasoline arbitrage into North Asia as Chinese refiners lift fuel exports.
MR	Atlantic strongly firmer (Basket US\$27,059/day, +US\$1,307); Pacific Basket eased to US\$26,596/day (–US\$287). TC2_37 UK-Cont/USAC remains negative at –US\$3,899/day.	Whether record diesel cracks pull additional MR tonnage into replacement long-haul trades.
Handysize	Softer: TC6 Algeria/Euro Med to Ws169.44 (–0.56), US\$8,991/day; TC23 ARA/UK-Cont US\$8,405/day (–US\$627).	Weakest part of the clean complex; limited exposure to the Gulf premium.

The Distillate Squeeze

The most important product-market development this week sits outside the freight indices. Commentary carried by oilprice.com argued that the real crisis is not US\$91 Brent but US\$170 diesel, with diesel cracks around US\$100 signalling a materially tighter market than crude prices alone suggest. EIA data showed distillate stocks sinking further even as crude inventories built. Russia's domestic fuel crisis has spread to Moscow with rationing reported, and Russia has taken its first gasoline cargo from India — an extraordinary reversal for a country that was a net product exporter.

DDS VIEW

Clean tanker rates softening while diesel cracks hit records is a contradiction worth understanding rather than dismissing. It tells us the constraint has moved upstream: there is no shortage of product tankers, there is a shortage of product to put in them and of safe routes to carry it on. For owners, that argues for positioning against Atlantic and intra-Asia replacement trades rather than chasing Gulf long-haul rates that look attractive but may not be liftable.

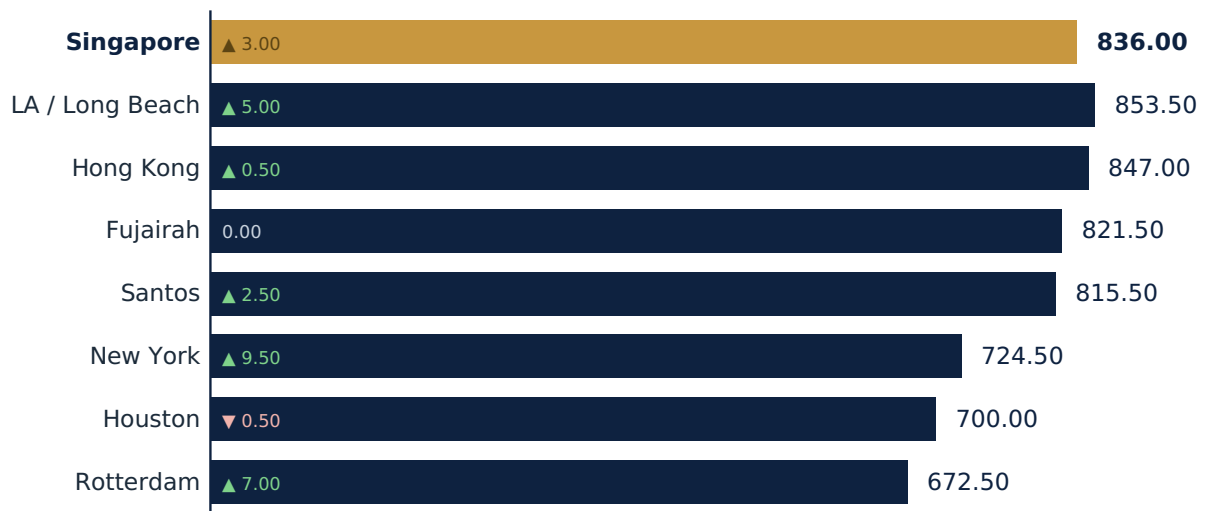


● Bunker Market — Singapore & Global Benchmark

Current indications in US\$/mt, Ship & Bunker (shipandbunker.com), 21 August 2026

Grade	Singapore	Day Change	Recent High	Recent Low
VLSFO	US\$836.00/mt	▲ +US\$3.00	US\$855.00	US\$800.00
MGO	US\$1,262.50/mt	▲ +US\$5.50	US\$1,298.00	US\$1,225.00
IFO380	US\$675.00/mt	▲ +US\$13.00	US\$695.00	US\$655.00

Singapore vs. Other Bunkering Hubs — VLSFO, US\$/mt, 21 August 2026



Source: Ship & Bunker (shipandbunker.com), 21 Aug 2026. Singapore highlighted in gold as DDS's home bunkering reference port.

Interpretation

All three Singapore grades rose this week, with IFO380 the standout at +US\$13.00 to US\$675.00/mt. Singapore's VLSFO at US\$836.00/mt now sits mid-pack among Asia/Pacific hubs — below LA/Long Beach (US\$853.50) and Hong Kong (US\$847.00) but above Fujairah (US\$821.50). The APAC regional average of US\$898.00/mt is now the highest of the three regions tracked, ahead of Americas (US\$836.50) and EMEA (US\$828.50).

The MGO picture is more strained than VLSFO. Fujairah MGO reached US\$1,459.00/mt (+US\$14.50) and New York US\$1,408.50/mt (+US\$27.00), against Singapore at US\$1,262.50/mt — a spread of nearly US\$200/mt between Gulf and Singapore distillate. For owners bunkering in our region, that Singapore discount is a genuine and currently widening commercial advantage worth planning voyages around.

Compliance cost note: EU ETS compliance costs rose again this week — EUA at €82.09 (+€0.40), with EUA-VLSFO equivalent at US\$306.77/mt (+US\$4.18) and EUA-MGO at US\$312.04/mt (+US\$4.25). These should be stated explicitly in bunker and freight clauses for any EU-linked call.



◆ Geopolitical & Route Risk

The Islamabad MoU expires — Hormuz, Red Sea, Black Sea and the Somali basin

Area	Current Signal	Commercial Consequence
Strait of Hormuz	MoU lapsed 17 Aug. Iran asserts mandatory transit permits and environmental tolls; US rejects and maintains blockade and convoy escorts. First seizure since June; one crew fatality.	Owners face an unresolvable conflict: pay Tehran and risk sanctions, or refuse and risk seizure. Escalate to owners and counsel, not the master.
Hormuz — traffic	IRGC high-speed craft readings rose to 338 (9–16 Aug) from 209 the prior window. Three China-linked tankers aborted transits.	Effective tonnage supply shrinking independently of rates; VLCC TCE up US\$15,746 as a direct consequence.
Black Sea	SKIROS struck by Ukrainian drone near Novorossiysk 17 Aug; Russia retaliated against Odesa and Izmail. Global grain shipments down 8%.	Suezmax charterers rotating to Atlantic Basin replacement barrels; TD6 eased as TD20/TD33 firmed.
Somali basin	Fifth vessel hijacked since 21 April (LUTUF, 17 Aug); four of five now held within ~130km along the Puntland coast. Over 40 seafarers held.	Renewed BMP hardening and armed-guard review required for Indian Ocean routings.

The 60-Day Ledger: What the MoU Did and Did Not Do

Kpler data reported this week closes the ledger on the Islamabad MoU. Roughly 374 million barrels of crude cleared the Mideast Gulf across the 60-day window, about 6.1 mbd — nearly three times the blockaded pre-MoU pace of 2.3 mbd, but only around 40% of the ~15 mbd Hormuz averaged in 2025. The stranded backlog cleared: idle floating storage fell from 61 mb at signing to 16 mb within three weeks. The system did not heal. Total crude on water inside the Gulf closed the window at roughly 130 mb, above even the war's starting level of ~96 mb.

Every operative commitment failed early. The US oil waiver survived 20 of the 60 days, the blockade lift 27, and Iran's mine-clearance obligation was never completed. Iran ends the window exporting less than it did during the war, with crude loadings collapsing from 893 kbd in July to 156 kbd through 17 August. The window's shortfall against normal Hormuz flows is roughly 550 mb of crude — a bill that lands in Q4 as inventory draws and truce-window buffers thin from September.

The Strait Went Dark Twice

The transparency picture deteriorated as sharply as the volume picture. Cargo appearing in the Gulf of Oman with no confirmed upstream loading ran at around 28% before the MoU, fell to just 5% at the Week 3 peak as vessels loaded openly with AIS transmitting, then ratcheted back to 66% of a shrinking total in the expiry week. The southern Omani corridor opened under JMIC guidance on 20 June, peaked at 48 crossings in Week 2, and was effectively gone by Week 4 after attacks on vessels using it. The Dark/Unknown share never fell below 44% and closed the window above 80%. LPG crossings fell to zero in mid-July; LNG carriers halted for almost three weeks before resuming late July, running dark.

DDS RISK LEVEL: CRITICAL — Windward assesses the operational risk environment across Hormuz, the Red Sea, Gulf of Aden, northern Arabian Gulf, Black Sea and Somali basin as critical. Iran is actively enforcing its transit and fee regime; kinetic incidents have produced crew fatalities; seizures have resumed after a two-month pause. DDS recommends no Hormuz transit without owner-level authorisation, current-week war-risk confirmation, and a documented position on Iran's permit-and-fee demands agreed with counsel and insurers in advance.



◆ Sanctions & Compliance Watch

Actionable controls for fixtures and STS operations

Developments — Week Ending 21 August 2026

- **Iran transit permit-and-toll regime, from 17 August:** Tehran now asserts mandatory transit permits and maritime environmental tolls in the Strait; Washington rejects the regime as illegitimate. AMARA was seized on 17 August with Iranian state media citing failure to meet authorisation and fee conditions. **This creates direct legal conflict for owners** — paying a fee demanded by a sanctioned-adjacent authority may create exposure; refusing may invite seizure. Obtain written owner and insurer positions before nominating tonnage.
- **Deceptive shipping — zombie tanker fleet:** Nine VLCCs broadcasting the fraudulent Mozambique registry were tracked anchoring off China's coast on 17 August. Zombie tankers broadcast the IMO numbers of scrapped or dead vessels; one is using the IMO of a US-sanctioned Suezmax scrapped in November 2025, another that of a vessel broken up in 2018. Call signs were allocated between 13 May and 5 July, indicating coordinated fleet management.
- **Direct Malaysia relevance:** Reporting notes zombie tankers are widely used for floating storage and STS transfers of Iranian oil, **moving cargoes from Malaysia's outer port limits off the Riau archipelago to ports in China**. This places deceptive-practice risk squarely in our operating region and makes IMO-number verification against scrapping records a live operational control, not a theoretical one.

Editorial & Verification Note: DDS Marine Group publishes vessel names and IMO numbers only where attributable to a named primary source. Incident and vessel-tracking detail in this issue is attributed to Windward and Kpler as reported by Hellenic Shipping News. Readers should verify any specific vessel against the current OFAC SDN list and their own screening provider before acting.

Control	Minimum Action — Updated This Week
Transit fee position	Obtain a written, owner-level decision on whether Iranian transit permits/tolls will be paid, cleared with sanctions counsel and war-risk underwriters. Do not leave this to the master.
IMO number verification	Check IMO numbers against scrapping and demolition records, not just sanctions lists. Nine VLCCs are currently broadcasting IMOs of scrapped vessels under a fraudulent Mozambique flag.
Riau / OPL screening	Apply enhanced due diligence to STS operations at Malaysian and Indonesian outer port limits, given documented use of these anchorages in Iranian-origin cargo chains.
Vessel screening	Screen IMO, current and former names, flag history, ownership, management, operator and ISM company.
AIS history	Review dark periods, spoofing indicators, abnormal loitering and identity changes. Note MINOAN DIGNITY went dark 28 Jul–17 Aug before the strike.
Pre-operation refresh	Repeat screening immediately before nomination, fixture, arrival and commencement of STS/cargo operations.
Record preservation	Keep screenshots, reports, approvals, emails, SOF and operational instructions in the job file.

Important: A vessel's absence from a sanctions list does not make a transaction acceptable, and a valid-looking IMO number no longer confirms a vessel's identity. Exposure can arise through ownership, control, cargo origin, counterparties, insurers, banks, deceptive practices or coerced transit payments. Complex cases require qualified sanctions counsel and bank/insurer confirmation.



◆ Vessel Security & Incident Log

New standing section — confirmed incidents, 17–20 August 2026, per Windward via Hellenic Shipping News

Vessel / IMO	Flag & Type	Incident	Date
MINOAN DIGNITY IMO 9294484	Liberia Bulk carrier, 76,801 DWT	Struck by unknown projectile in engine room, outbound southern Hormuz corridor ~0.5nm off Omani coast. Chief engineer killed. UKMTO confirmed; crew assisted by Omani Coast Guard after two failed evacuation attempts. Had gone dark 28 Jul–17 Aug; last port Bandar Imam Khomeini.	17–18 Aug
AMARA IMO 9333280	Liberia Chemical/ products tanker	Assessed seized after Iranian boarding near Qeshm Island. In ballast, inbound Jebel Ali from Singapore. Iranian media cite failure to meet transit authorisation and fee conditions. First confirmed Iranian seizure since 22 June.	17 Aug
SKIROS IMO 9390628	Liberia Crude tanker, 159,000 DWT	Struck by Ukrainian drone on the bridge near Novorossiysk offshore terminals; small fire contained, no casualties, vessel operational and en route to Kochi with ~1m bbl. Carrying Kazakh-origin CPC Blend, not Russian crude.	17 Aug
LUTUF IMO 9109134	Cameroon General cargo, 76m	Hijacked ~4.5nm south of Mareeyo, Somalia by at least eight armed men. Crew reported safe; Operation Atalanta investigating. Fifth vessel taken since 21 April.	17 Aug
MINOAN PIONEER IMO 9471630	Liberia Bulk carrier	Struck northeast of Khasab earlier in the month. Same beneficial owner as MINOAN DIGNITY; also called Bandar Imam Khomeini before being hit.	4 Aug

Pattern Assessment

Two vessels under the same commercial management were struck within two weeks, both after calls at Bandar Imam Khomeini, and MINOAN DIGNITY had been delivering food cargo rather than lifting energy cargo. That sits outside Iran's established targeting pattern, which has been directed predominantly at Gulf energy companies and chartered tankers. Windward assesses the recurrence as warranting examination of a possible commercial dispute dimension, though no confirming evidence is available. **The operational implication for our readers is that prior Iranian port calls may themselves now constitute a risk factor on the subsequent outbound leg.**

Environmental & Congestion Indicators

- **Oil spill, southeastern Hormuz waiting area:** A slick from a dark, stationary 333-metre VLCC has grown to approximately 64 nautical miles (118 km), extending northward. Confirmed by SAR imagery 17 August.
- **Kharg Island bottleneck:** The Sulphur and LPG terminal reactivated 19 August after 23 consecutive days vacant. The waiting area held approximately 20.7 million barrels of confirmed laden crude across 18–21 tankers, with the eastern oil terminal vacant 20 consecutive days. Windward assesses the combination of a large laden fleet at anchor alongside prolonged terminal vacancy as a significant bottleneck elevating sanctions-evasion risk.
- **Somali holding cluster:** Four of the five hijacked vessels now sit within roughly 130 km of each other along the Garacad-to-Eyl coastline, indicating a single consolidated holding operation rather than five separate ones. Over 40 seafarers are held.

Section note: This new standing section replaces Ship Recycling & Demolition in this issue. No attributable weekly demolition report was available at time of publication; in line with our editorial policy we have not estimated or reconstructed that data. Ship Recycling & Demolition will return in Issue 005 when a sourced report is available.



◆ Southeast Asia & STS Operations

Malaysia · Singapore · Indonesia · Thailand · Vietnam — the Malacca-to-Pengerang corridor

Two developments this week bear directly on our operating region. First, TD2 (ME Gulf/Singapore) was the single strongest dirty tanker route on the board, surging 53.22 Ws points to Ws528.44 — US\$552,681/day — confirming that Gulf-to-Singapore is now among the most valuable and most contested crude routes in the world. Second, and more soberly, reporting this week explicitly identifies Malaysia's outer port limits off the Riau archipelago as a transfer point in Iranian-origin cargo chains moving to China via zombie tankers. Both facts point the same way: our region's growing centrality brings growing scrutiny.

Market	Why It Matters This Week
Malaysia	Home to Port Klang, Malacca, Muar, Linggi and the Johor STS/bunkering corridor. Outer port limits off Riau named in deceptive-practice reporting — enhanced STS due diligence is now a reputational as well as legal necessity.
Singapore	TD2 ME Gulf/Singapore up 53.22 Ws points to US\$552,681/day. Singapore MGO at US\$1,262.50/mt sits nearly US\$200/mt below Fujairah — a material bunkering advantage for Gulf-avoiding routings.
Indonesia	Batam and Karimun remain active in STS and bunkering. Eight bunker samples tested in Indonesia showed low flashpoints this week, all from a single supplier — a live fuel-quality caution.
Thailand	Gulf of Thailand distribution continues to benefit from trade diversion; secondary routing option for regional crude and clean cargoes.
Vietnam	Growing product-import demand; bellwether for intra-Asia clean tanker and MR patterns as Atlantic MR rates firm.

STS & Marine-Services Operating Standard

Operational Pillar	DDS Standard
Planning	Job-specific JPO, risk assessment, mooring plan, weather limits, communications plan and emergency response.
Vessel suitability	Compatibility review covering freeboard, manifold, fenders, hoses, mooring arrangement, vetting and cargo system.
Counterparty & identity	IMO verification against scrapping records; beneficial ownership; AIS dark-period review; cargo-origin documentary chain.
Personnel	Qualified POAC/mooring master, pilots, surveyors, launch crew, tug support and clear command/reporting lines.
Bunker quality	Sampling and flashpoint verification — note this week's Indonesian low-flashpoint findings from a single supplier.
Documentation	Accurate NOR, SOF, checklists, pumping records, delay evidence, photographs and final operation report.

DDS VIEW

Southeast Asia is being handed volume by a crisis it is not part of. That is a genuine structural advantage, but this week's reporting on Riau-area STS transfers is a warning about how it can be squandered. If the region becomes known as the place where questionable cargo changes hands quietly, the premium we currently enjoy for being the safe alternative disappears. The commercial case for rigorous, documented, verifiable STS execution has never been stronger than it is right now.



● Freight & Rate Signals

Baltic Exchange dirty, clean, LPG and LNG indices, 18 August 2026 (Tuesday) — as reported by Baltic Exchange

Selected Baltic Exchange routes most relevant to DDS's Southeast Asia and Middle East corridor readership, published 18 August 2026.

Baltic Dirty Tanker Index — 2,894 (+70)

Route	Rate	US\$/day
TD2 — ME Gulf / Singapore (VLCC, 270k)	Ws528.44 (+53.22)	552,681 (+60,533)
TD3C — ME Gulf / China (VLCC, 270k)	Ws514.44 (+12.77)	523,942 (+14,488)
TD15 — WAF / China (VLCC, 260k)	Ws173.75 (+17.50)	143,638 (+19,252)
VLCC TCE (TD3C, TD15 & TD22)	—	266,512 (+15,746)
TD6 — Black Sea / Med (Suezmax, 135k)	Ws553.89 (–6.67)	418,371 (–6,375)
TD20 — WAF / UK-Cont (Suezmax, 130k)	Ws328.33 (+16.66)	165,086 (+9,737)
TD33 — US Gulf / ARA (Suezmax, 145k)	Ws251.11 (+29.44)	144,280 (+21,104)
Suezmax TCE (TD6 & TD20)	—	291,729 (+1,681)
TD8 — Kuwait / Singapore (Aframax, 80k)	Ws324.17 (–2.83)	80,852 (–696)
TD14 — SE Asia / EC Australia (Aframax, 80k)	Ws173.44 (+1.88)	32,310 (+922)
Aframax TCE (TD7, TD8, TD14, TD19, TD25, TD26)	—	82,647 (–1,206)

Baltic Clean Tanker Index — 1,274 (–9)

Route	Rate	US\$/day
TC1 — ME Gulf / Japan (LR2, 75k)	Ws507.22 (–2.78)	135,712 (–651)
TC20 — ME Gulf / UK-Cont (LR2, 90k)	\$9,118,750 lumpsum (+31,250)	113,441 (+171)
TC5 — ME Gulf / Japan (LR1, 55k)	Ws510.00 (–6.25)	95,227 (–1,237)
TC14 — USG / UK-Cont (MR, 38k)	Ws237.14 (+8.57)	23,878 (+1,459)
TC18 — US Gulf / Brazil (MR, 38k)	Ws287.86 (+13.57)	32,715 (+2,081)
MR Atlantic Basket	—	27,059 (+1,307)
MR Pacific Basket	—	26,596 (–287)
TC11 — S Korea / Singapore (CPP, 40k)	\$21.656/mt (+0.172)	19,819 (+435)

Baltic LPG & LNG

Route	Rate	US\$/day
Baltic LPG Index	18,143 (–336)	—
BLPG1 — ME Gulf / Japan (44k)	\$217.250/mt (–1.500)	207,862 (–397)
BLPG3 — US Gulf / Japan (44k)	\$267.167/mt (–4.666)	155,532 (–3,401)
BLNG1_74g — Gladstone / Tokyo RV	—	66,100 (–400)
BLNG3_74g — Sabine / Tokyo RV	—	42,000 (0)

DDS VIEW

TD2 is the number to take away. A 53-point Ws move on ME Gulf/Singapore in a single print, worth an extra US\$60,533/day, is the freight market pricing the withdrawal of Chinese tonnage from the corridor. Note the divergence from Issue 003: LPG has reversed (index –336 after last week's +1,686) and LNG has softened across all three routes, while dirty crude has surged. The gas complex is normalising as the crude complex escalates.



◆ Seven-Day Outlook: 22–28 August 2026

Market	Base Case	Upside Risk	Downside Risk
Crude oil	Sustained US\$88–100/bbl Brent with no de-escalation mechanism in place.	A further seizure, fatality or terminal strike pushing Brent toward US\$100+.	An entirely new diplomatic initiative — note the lapsed MoU cannot simply be revived.
VLCC	Firm to very firm; scarcity of willing tonnage is the binding constraint.	Further fleet withdrawals (beyond COSCO/China Merchants) tightening the willing pool.	Chinese operators resuming transits under a negotiated exemption.
Suezmax	Firm, Atlantic-led as charterers avoid Black Sea loading risk.	Further Novorossiysk/CPC strikes extending Atlantic substitution.	A pause in Ukrainian strikes on Black Sea terminals.
Clean/ products	Atlantic firm, Gulf long-haul soft; distillate cracks remain the story.	Diesel cracks pulling MR tonnage into new replacement trades.	Refinery restarts easing the distillate squeeze.
Insurance / P&I	Further tightening likely after a confirmed crew fatality and resumed seizures.	Coordinated club guidance on Iran's transit-fee regime.	Stabilisation if no further incidents occur inside the window.
Bunkers	Firm across grades; Singapore retains a wide MGO discount to Fujairah.	Crude rally feeding through to all grades.	Any crude reversal easing the complex.

Watch List

- Whether Iran conducts further seizures or strikes under its new permit-and-toll regime, and whether any owner publicly accedes to the fee demand.
- Whether COSCO and China Merchants maintain their Hormuz and Bab el-Mandeb withdrawal, and whether other major operators follow.
- P&I club and war-risk underwriter responses to the MINOAN DIGNITY fatality and AMARA seizure.
- Whether the ~550 mb Q4 shortfall against normal Hormuz flows begins showing up in Asian refinery run cuts from September.
- Kharg Island terminal activity and whether the ~20.7m bbl of laden tonnage at anchor begins to clear.
- Somali basin: whether a sixth vessel is taken, and any movement in the Puntland holding cluster.

DDS CONCLUSION

Issue 003 warned that a market-wide insurance response had arrived. Issue 004 records what came next: a lapsed agreement, an enforcement regime asserted by one state and rejected by another, a seafarer killed, and a tanker seized. Freight rates have responded exactly as scarcity theory predicts. The operator's task in the week ahead is not to chase those rates but to decide, deliberately and at owner level, whether and on what terms the company will transit at all — and to make sure no master is left to answer that question alone at the entrance to the Strait.



◆ Methodology, Sources & Disclaimer

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DDS Weekly Maritime Intelligence combines public market data, official regulatory releases, reputable news reporting and operator-focused analysis. Freight commentary is directional and does not reproduce proprietary broker assessments or subscription-only indices.

Source	Information Used
oilprice.com, 21 Aug 2026	Brent US\$93.62/bbl, WTI US\$86.70/bbl, Murban US\$101.00/bbl (live indications); coverage of the Hormuz impasse, ADNOC spot tenders, diesel crack commentary, Chinese tanker turnarounds and EIA inventory reporting.
Ship & Bunker (shipandbunker.com), 21 Aug 2026	Singapore, Fujairah, Rotterdam, Houston, Hong Kong, Santos, LA/Long Beach and New York VLSFO, MGO and IFO380 indications; regional averages; WTI/Brent daily series 12–19 Aug; EU ETS compliance-cost series.
Hellenic Shipping News Worldwide, 20–21 Aug 2026	"60 days of a broken US-Iran MoU" (source: Kpler) — MoU ledger, clearance volumes, floating storage and dark-transit shares. "A Fatal Strike and the First Seizure Since June" (source: Windward) — MINOAN DIGNITY, AMARA, SKIROS, LUTUF incidents, IRGC HSC readings, Kharg Island, oil spill and zombie tanker fleet. Also: Baltic Dry Index reporting, Indonesian bunker flashpoint testing, global grain shipment data.
Baltic Exchange, 18 Aug 2026	Dirty, clean, LPG and LNG tanker index data (TD/TC/BLPG/BLNG routes), as reported.

What's changed since Issue 003 (13 August 2026): The 60-day Islamabad MoU lapsed on 17 August with no deal or extension; Iran now asserts a mandatory transit permit-and-toll regime that Washington rejects. A chief engineer was killed aboard MINOAN DIGNITY and the tanker AMARA was seized — the first Iranian seizure since June. Brent has risen from US\$87.07 to US\$93.62 and Murban has broken US\$100. VLCC TCE jumped US\$15,746 as COSCO and China Merchants withdrew 100+ VLCCs from Hormuz and Bab el-Mandeb. The LPG index reversed sharply (–336 after +1,686). This issue introduces a **Vessel Security & Incident Log** as a standing section; Ship Recycling & Demolition is absent this week for want of an attributable source and returns in Issue 005.

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